

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 17-07

**PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT**

v.

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT**

**COMPLAINANT PORT ELIZABETH TERMINAL & WAREHOUSE
CORP.'S PROPOSED FINDINGS OF FACT**

Complainant, Port Elizabeth Terminal & Warehouse Corp., sets forth the following as its Proposed Findings of Fact pursuant to 46 C.F.R. 502.221:

I. Complainant

1. Complainant Port Elizabeth Terminal & Warehouse Corp. is a corporation organized under the laws of the State of New Jersey. (Verified Complaint, paragraph I.A).
2. Complainant Port Elizabeth Terminal & Warehouse Corp. has an office and principal place of business at 201A Export Street, Port Newark, New Jersey. (Verified Complaint, paragraph I.B).

II. Respondent

3. The Port Authority is a body corporate and politic created by Compact between the States of New York and New Jersey with the consent of the Congress of the United

States, existing under the laws of the States of New Jersey and New York, with its principal place of business at 4 World Trade Center, 150 Greenwich Street, New York, New York. (Verified Complaint, paragraph II.A (admitted)).

4. PANYNJ operates marine terminal facilities in the New York – New Jersey area, including in Elizabeth, New Jersey. (Verified Complaint, paragraph II.B (admitted)).

III. Jurisdiction

5. PANYNJ is a marine terminal operator within the meaning of the Shipping Act, 46 U.S.C. § 40102(14) (Answer, paragraph IIIA (admitted)), and controls virtually all of the common carrier served terminal facilities located within the Port of New York and New Jersey. (Verified Complaint, paragraph III.A).

6. Port Elizabeth Terminal & Warehouse Corp. is a marine terminal operator within the meaning of the Shipping Act, 46 U.S.C. § 40102(14). (Verified Complaint, paragraph III.B).

7. Port Newark Container Terminal (“PNCT”) is a marine terminal operator within the meaning of the Shipping Act, 46 U.S.C. § 40102(14). (Verified Complaint, paragraph III.C).

8. PNCT is a competitor with Port Elizabeth Terminal & Warehouse Corp. for space and operational capacity at the Port of New York and New Jersey. (Verified Complaint, paragraph III.D).

9. FAPS, Inc. is a competitor with Port Elizabeth Terminal & Warehouse Corp. for space and operational capacity at the Port of New York and New Jersey. (Deposition of Patrick Wynne taken on February 1, 2018, Exhibit B, page 52, lines 7-21).

10. Columbia Coastal is a competitor with Port Elizabeth Terminal & Warehouse Corp. for space and operational capacity at the Port of New York and New Jersey. (Deposition of Patrick Wynne taken on February 1, 2018, Exhibit B, page 171, lines 5-22).

11. The PANYNJ and Port Elizabeth Terminal & Warehouse Corp. are parties to agreement LPN-297. (Verified Complaint, paragraph III.E (admitted)).

12. The PANYNJ and PNCT are parties to agreement L-PN-264 (admitted) filed with the Commission and designated FMC Agreement No. 201132. (Verified Complaint, paragraph III.F).

13. The Commission has jurisdiction over this Complaint because the parties are marine terminal operators within the meaning of the Shipping Act, 46 U.S.C. § 40102(14) and the actions of the PANYNJ which are the subject of this Complaint are violations of the Shipping Act. (Verified Complaint, paragraph III.G).

IV. Proposed Findings of Fact

14. Port Elizabeth Terminal & Warehouse Corp. provides warehousing and other terminal services and facilities to other marine terminal operators and common carriers handling thousands of shipping containers that enter or depart through the Port of New York and New Jersey. (Verified Complaint, paragraph IV.A).

15. Port Elizabeth Terminal & Warehouse Corp. has been a tenant of PANYNJ and doing business in the Port of New York for over forty-two (42) years. (Verified Complaint, paragraph IV.B).
16. Port Elizabeth Terminal & Warehouse Corp. is a public warehouse company and has been operating warehouses in the Port of New York and New Jersey since 1975. (Verified Complaint, paragraph IV.C).
17. The vast majority of Port Elizabeth Terminal & Warehouse Corp.'s customers ship heavy / dense products to and from the United States. (Verified Complaint, paragraph IV.D).
18. Port Elizabeth Terminal & Warehouse Corp. provides a key component of the supply chain for ocean-borne cargo by handling containers loaded to the rated capacity of the containers, typically 58,000 lbs. or roughly 26.3 metric tons, by shippers in order to maximize ocean freight savings. (Verified Complaint, paragraph IV.E).
19. These 58,000 lbs. containers cannot be legally shipped on the United States Highway system so the cargo must be transloaded from the containers to legal highway weights. (Verified Complaint, paragraph IV.F).
20. The 58,000 lbs. containers can legally be transported via the Port's Marine Terminal Highways with their significantly higher gross vehicle weights to Port Elizabeth Terminal & Warehouse Corp. warehouses in Port Newark and off-loaded and legally transported by Port Elizabeth Terminal & Warehouse Corp. and transloaded on-terminal

and prepared to legal off-port highway weights and off-port delivery. (Verified Complaint, paragraph IV.G).

21. During the period of 2010 through 2015 Port Elizabeth Terminal & Warehouse Corp. averaged handling in excess of 50,000 TEU's per year of these types of heavy-loaded import and export containers that require on-terminal transloading. (Verified Complaint, paragraph IV.H).

22. Port Elizabeth Terminal & Warehouse Corp. and PANYNJ have, over these past forty-two (42) years, entered into numerous Leases, agreements and supplements to agreements based upon the parties' needs and to advance the parties' mutual commercial and business interests. (Verified Complaint, paragraph IV.I).

23. Over the past forty-two (42) years, the parties have entered into dozens of agreements and supplements pursuant to an established pattern and practice of working together to facilitate commerce within the port district. (Verified Complaint, paragraph IV.J).

24. On November 1, 2009, PANYNJ entered into an agreement, in writing, designated as Lease No.: LPN-297 (the "Lease Agreement"). (Verified Complaint, paragraph IV.K).

25. Pursuant to the Lease Agreement, the PANYNJ, as Lessor, let to Complainant, as lessee, the Premises, which included Building 201 and Building 202 of the Premises. (Verified Complaint, paragraph IV.L).

26. The Lease Agreement as to Building 201 and Building 202 of the Premises commenced on November 1, 2009 with a stated termination date of October 31, 2019. (Verified Complaint, paragraph IV.M).

27. Since November 1, 2009, when PANYNJ entered into Lease No.: LPN-297, Port Elizabeth Terminal & Warehouse Corp., PANYNJ has assured Port Elizabeth Terminal & Warehouse Corp. that, consistent with the longstanding relationship and clear understanding of the parties, PANYNJ would engage in good faith negotiations with Port Elizabeth Terminal & Warehouse Corp. to provide suitable space at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark. (Verified Complaint, paragraph IV.N).

28. Port Elizabeth Terminal & Warehouse Corp. occupied 138,400 Square Feet of warehouse space 1400 Aruba Street, Elizabeth, New Jersey 07201 and, at the PANYNJ's request, vacated the premises on December 31, 2014, purportedly to allow for sprinkler repairs. (Verified Complaint, paragraph IV.O).

29. The warehouse space at 1400 Aruba Street, Elizabeth, New Jersey 07201 remains vacant. (Verified Complaint, paragraph IV.P).

30. On or about March 31, 2015, Port Elizabeth Terminal & Warehouse Corp. vacated 312,000 Square Feet of warehouse space at 191 Export Street, 194 Panama Street and 199 Panama Street in Port Newark at the PANYNJ's request to allow for the PNCT Terminal Expansion. (Verified Complaint, paragraph IV.Q).

31. On or about November 30, 2015, Port Elizabeth Terminal & Warehouse Corp. vacated 91,855 Square Feet of space at 292 Marlin Street at the request of PANYNJ purportedly to create more room for vessel receiving. (Verified Complaint, paragraph IV.R).

32. PANYNJ had Port Elizabeth Terminal & Warehouse Corp. vacate 312,000 Square Feet of warehouse space at 201 Export Street and 202 Clipper Street to allow for the PNCT Terminal Expansion. (Verified Complaint, paragraph IV.S).

33. Port Elizabeth Terminal & Warehouse Corp. agreed to PANYNJ's requests to vacate warehouse space and incurred millions of dollars in relocation expenses based upon assurances by PANYNJ and the longstanding practice of the parties to negotiate in good faith and reach agreement regarding alternative suitable marine terminal facilities at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark. (Verified Complaint, paragraph IV.T).

34. The PANYNJ's designated representative has not disputed the longstanding practice of the parties to negotiate in good faith and reach agreement regarding alternative suitable marine terminal facilities at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark and the assurances of the PANYNJ:

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14 Q. So -- well, do you dispute that over
15 those 40 years up until recently, that the Port
16 Authority and Port Elizabeth Terminal & Warehouse have
17 been able to negotiate deals to their mutual
18 satisfaction that accommodates both sides' interests?

19 A. Yes.

20 Q. And that includes moving the physical
21 location of Port Elizabeth Terminal & Warehouse
22 operation on occasion.

23 A. Yes.

24 Q. So those things are undisputed. Am I
25 right?

Page 30

1 A. Yes.

[(Deposition of Nathaniel “Sam” Ruda taken on January 26, 2018,
Exhibit A, page 29, line 14 to page 30, line 1).]

PANYNJ Has Given Undue Or Unreasonable Preference Or Advantage To Other Marine Terminal Operators And Has Imposed An Undue Or Unreasonable Prejudice Or Disadvantage On Port Elizabeth Terminal & Warehouse Corp.

35. The Shipping Act forbids ocean carriers and Marine Terminal Operators (MTOs) (including port authorities) from “giv[ing] any undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage” with respect to “any person.” 46 U.S.C. §§ 41106(2), 41104(8)-(9). (Verified Complaint, paragraph U).

36. PANYNJ has imposed an undue or unreasonable prejudice or disadvantage on Port Elizabeth Terminal & Warehouse Corp. while unduly favoring other Marine Terminal Operators in the Port of New York and New Jersey. (Verified Complaint, paragraph V).

37. For instance, PANYNJ’s agreement with PNCT, agreement L-PN-264 filed with the Commission and designated FMC Agreement No. 201132, violated the foregoing provisions of the Shipping Act by granting and continuing to grant to PNCT unduly and unreasonably more favorable lease terms than provided to Port Elizabeth Terminal &

Warehouse Corp. in Lease No.: LPN-297, including but not limited to agreeing to provide PNCT with “added premises” which are leased to Port Elizabeth Terminal & Warehouse Corp. (Verified Complaint paragraph W).

38. In this regard, Port Elizabeth Terminal & Warehouse Corp. was never provided an opportunity to negotiate for the “added premises” PANYNJ agreed to provide to PNCT notwithstanding the fact that PANYNJ leased property to the Port Elizabeth Terminal & Warehouse Corp. (Verified Complaint paragraph X).

39. The agreement between PANYNJ and PNCT, agreement L-PN-264 filed with the Commission and designated FMC Agreement No. 201132, was executed by the PANYNJ in January 2012 and agrees to provide “Phase 3 Development Parcel” no later than October 31, 2017. (Verified Complaint paragraph Y).

40. The “Phase 3 Development Parcel” described in the PNCT lease is the same premises leased to Port Elizabeth Terminal & Warehouse Corp. in Lease LPN-264 described in Exhibit D-3 of that lease. (Verified Complaint paragraph Z).

41. Accordingly, at the time PANYNJ executed the PNCT lease in January 2012, it knew Port Elizabeth Terminal & Warehouse Corp. occupied the premises described in the PNCT lease as “Phase 3 Development Parcel” pursuant to a lease and that Port Elizabeth Terminal & Warehouse Corp. sought to negotiate an agreement to finance, construct and operate state of the art warehouse buildings to replace buildings leased by Port Elizabeth Terminal & Warehouse Corp. from the PANYNJ on the so-called “Phase 3 Development Parcel”. (Verified Complaint paragraph AA).

42. Notwithstanding this knowledge, PANYNJ unreasonably refused to deal and negotiate with Port Elizabeth Terminal & Warehouse Corp. regarding the premises. (Verified Complaint paragraph BB).

43. Thus, the PANYNJ negotiated with PNCT and agreed to provide it with certain so-called “added” premises some of which was occupied by Port Elizabeth Terminal & Warehouse Corp. but at the same time the PANYNJ refused to negotiate with Port Elizabeth Terminal & Warehouse Corp. regarding the so-called “added” premises. (Verified Complaint paragraph CC).

44. As noted above, certain business of the Port Elizabeth Terminal & Warehouse Corp. is dependent upon use of heavy load vehicles that may not use the United States Highway system and must use the Marine Terminal Highway system in Port Newark/Elizabeth to accommodate its customers and maintain its business. (Verified Complaint paragraph DD).

45. By taking property occupied by Port Elizabeth Terminal & Warehouse Corp. and providing it to PNCT, the Port Authority has provided PNCT with an undue advantage and has made it likely that Port Elizabeth Terminal & Warehouse Corp.’s customers will be forced to seek a new marine terminal operator who can provide services formerly provided by Port Elizabeth Terminal & Warehouse Corp. and, accordingly, Port Elizabeth Terminal & Warehouse Corp. will lose business. (Verified Complaint paragraph EE).

46. There is no valid transportation purpose for the foregoing undue or unreasonable prejudices against Port Elizabeth Terminal & Warehouse Corp. and undue or unreasonable preferences advantaging PNCT or the PANYNJ's refusal to deal with Port Elizabeth Terminal & Warehouse Corp. (Verified Complaint paragraph FF).

47. If there is a valid transportation purpose, the discriminatory actions of PANYNJ exceed what is necessary to achieve the purpose. (Verified Complaint paragraph GG).

48. The PANYNJ led PET&W on with empty promises to provide alternative suitable marine terminal facilities at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark and "conclusive information" about such a dispute was not available to PET&W as a result. The facts pled in the Verified Complaint were confirmed by Sam Ruda, PANYNJ's designated representative pursuant to Rule 30(b)(6):

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14 Q. So -- well, do you dispute that over
15 those 40 years up until recently, that the Port
16 Authority and Port Elizabeth Terminal & Warehouse have
17 been able to negotiate deals to their mutual
18 satisfaction that accommodates both sides' interests?

19 A. Yes.

20 Q. And that includes moving the physical
21 location of Port Elizabeth Terminal & Warehouse
22 operation on occasion.

23 A. Yes.

24 Q. So those things are undisputed. Am I
25 right?

Page 30

1 A. Yes.

[(Deposition of Nathaniel "Sam" Ruda taken on January 26, 2018,
Exhibit A, page 29, line 14 to page 30, line 1).]

49. Thus, the PANYNJ misled PET&W by a course of conduct and assurances that it would accommodate PET&W business needs at Port Newark and reneged in 2017 by seeking to evict PET&W without accommodating PET&W with alternate space. Sam Ruda, the person designated by the PANYNJ as its representative pursuant to Rule 30(b)(6), testified:

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14 Q. So -- well, do you dispute that over
15 those 40 years up until recently, that the Port
16 Authority and Port Elizabeth Terminal & Warehouse have
17 been able to negotiate deals to their mutual
18 satisfaction that accommodates both sides' interests?

19 A. Yes.

20 Q. And that includes moving the physical
21 location of Port Elizabeth Terminal & Warehouse
22 operation on occasion.

23 A. Yes.

24 Q. So those things are undisputed. Am I
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1 A. Yes.

[(Deposition of Nathaniel "Sam" Ruda taken on January 26, 2018,
Exhibit A, page 29, line 14 to page 30, line 1).]

50. Patrick Wynne gave the following testimony:

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18 Q. One of the claims -- strike that.
19 Is PETW making the claim in this case
20 that the Port Authority discriminated against it by
21 refusing to deal or negotiate and provide PETW with
22 a loan payback agreement?

23 MR. BURKE: Objection.

24 A. The claim that we're making is
25 promises were made to us about replacement space for

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1 the buildings that were going to be knocked down as

2 part of the PNCT expansion. We have had a long
3 history with the Port Authority of leasing buildings
4 and paying well over a \$105 million in rent.
5 Leasing buildings that we then moved out of for the
6 Port Authority's reasons and in each and every case
7 part of that negotiation resulted in additional
8 space.

9 To the point, we originally leased
10 building 2280 from the Port Authority. We moved out
11 of that so that the port could handle the Russian
12 line. We were in buildings 2210 to 2220. We moved
13 out of that for the expansion of the Maher Terminal.
14 That was followed up by vacating buildings 1320 and
15 1340 as continuing expansion of the Maher Terminal.

16 Continuing on, before we get to the
17 current buildings that are in place, we also vacated
18 Building 195 as part of the initial phase of the
19 expansion of PNCT.

20 So from past practice, what we feel
21 we were promised, our expectation was that
22 additional space on Port Newark Elizabeth property
23 that would allow us to legally handle the heavy
24 containers that we had built our business around,
25 that that would be made available to us and we felt

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1 that was going to happen and when it didn't, that
2 was really contrary to everything we had previously
3 done in the Port with the Port Authority.

4 Q. You said the word promised?

5 A. Um-hum.

6 Q. Are you claiming the Port Authority
7 promised to relocate you?

8 A. Um-hum.

9 MR. BURKE: Yes?

10 A. Yes.

11 Q. Who from the Port Authority promised
12 to relocate you?

13 A. There were a number of people
14 involved, but Dennis Lombardi certainly was involved
15 with the building design that you previously -- I
16 don't remember the exhibit number, but Dennis went
17 and visited Tembec in Canada. Tembec is a pulp

18 exporter and they at the peak of this business they
19 were doing by rail boxcar to us in Port Newark, they
20 were shipping between 250 and 300 containers a week,
21 which is between 500 and 600 TEUs.

22 That building design that was put
23 together by CenterPoint and it was discussed at the
24 meeting in New York was a design specifically to
25 retain that business for the Port as well as for

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1 PETW.

2 As we went through that process,
3 Dennis was looking to give us something in writing
4 because we -- as previously referenced, some of our
5 customers were nervous in terms of reading about
6 what was taking place. He thought he was going to
7 have that letter. At the final analysis, he wasn't
8 able to, somebody didn't let him generate that
9 letter to us. However, he assured us, me personally
10 on the phone of the Port's continuing interest to
11 provide replacement space for us.

12 Q. In the complaint I just want to make
13 sure that we are clear as to the buildings you are
14 claiming Port Authority asked you to vacate which
15 caused your financial hardship.

16 In your complaint you reference 1400
17 Aruba Street, 194 Panama Street, 199 Panama Street,
18 292 Marlin Street, 201 Export Street and 202 Clipper
19 Street. Are those all the buildings that the Port
20 Authority asked you to vacate that PETW is now
21 claiming caused its financial hardship?

22 MR. BURKE: Objection.

23 Q. You can answer.

24 A. Just one correction, I guess I missed
25 this. 201 is actually Clipper Street also. 201 A

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1 was our office on Export Street, but that's not
2 material.

3 MR. BURKE: On page 5?

4 THE WITNESS: Yes, on page 5. The
5 warehouse is actually 201 Clipper Street, but we
6 also had to vacate our main office, which was 201 A
7 Export Street. Sorry, I missed that.

8 The answer to your question is those
9 are buildings that have created the problem for us.
10 Two reasons, a major, major one is you need to be on
11 dock to be able to handle the heavy containers that
12 we handle.

13 PETW is the originator of the heavy
14 container on the Newark Port Elizabeth Marine
15 Terminal. That goes all the way back to 1991.

16 We were doing business with Great
17 Northern Paper, a paper company out of Maine. They
18 were doing domestic business with us, shipping from
19 Maine by railcar for us to do distribution. They
20 then realized there was an opportunity to export
21 through the Port of New York and New Jersey.

22 They called us up and said if we rail
23 down paper to you from Maine, how heavy can you load
24 the containers. We didn't know the answer to that.
25 We went to the Port Authority and said we have a

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1 potential customer for the Port that wants to do
2 export business through here as opposed to doing
3 great bulk shipping out of Maine.

4 The Port Authority advised us in 1991
5 that the entire Port Newark Elizabeth Marine
6 Terminal was a marine terminal highway and,
7 therefore, not subject to the weight regulations
8 that exist on the New Jersey roads.

9 We went back to Great Northern Paper,
10 reported that to them and they began the process of
11 shipping rail boxcars to us in Port Newark for
12 loading into export containers. We then looked at
13 that and recognized that New York is a much greater
14 import port than export and so there were all kinds
15 of containers coming in of heavy dense products such
16 as paper, water, beer, et cetera, that could be
17 heavily loaded in containers legally and brought
18 into the Port and then could be trans loaded to
19 legal weight, typically highway or it could be
20 intermodal to be shipped out.

21 We then went after that import
22 business and those heavy weight containers on both
23 export and import of our international business is

24 the rare exception that someone doesn't heavy load
25 the containers. The reason for that is that ocean

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1 rates are per box or per container.

2 So when you go -- on a 40-foot ocean
3 container legal on U.S. highways is approximately
4 44,000 pounds. A 20-foot container is only legal to
5 about 38,000 pounds, unless you use a tri-axle
6 chassis. But, however, the containers are all rated
7 anywhere from 58,800 pounds. The newer containers
8 are actually rated for upwards of 63,000 pounds.

9 So the business that we have
10 particularly with paper products and with the water,
11 as well for Nestle Waters, they're all about
12 bringing those containers in as close to the maximum
13 that they are able to do that. What it results in
14 for the shippers, it results in a 20 to 25 percent
15 ocean freight savings and that is highly significant
16 for large customers.

17 When you're not on the Port, there is
18 a much higher transportation cost. It requires
19 tri-axle chassis, but beyond that the regulation in
20 New Jersey for New Jersey highways for containers
21 only allows up to 90,000 pounds gross vehicle weight.
22 When you back out the chassis weight, the container
23 weight and the tractor weight, the maximum that you
24 really can get and transport legally someplace in
25 New Jersey -- tractors can vary, but it comes down

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1 to somewhere around 55,000 pounds.

2 So when you have customers that have
3 been accustomed to exporting between 59 or 61,000 or
4 the same thing on the import side and now you have
5 to go somewhere else and it would result in they're
6 reducing their weights, while at the time same time
7 increasing the transportation cost from the Port to
8 another location. That is the issue with not giving
9 us replacement space on the Port, number one.

10 The second part --

11 Q. Before you go to the second part --

12 MR. BURKE: Let him answer.

13 Q. Go ahead.

14 A. The second part, with Tembec that's
15 business that came to the Port by rail. Our rail
16 facilities with the Port Authority between those
17 buildings that we mentioned 191, 194, 199, all rail
18 buildings and 201 and 202 rail buildings, 191, 194
19 and 199 all had double track rail, not even single
20 track rail. For CSX and Norfolk Southern that is
21 the largest rail capability of rail boxcars east of
22 the Mississippi. It certainly generated extremely
23 good business for the Port as well as for us.
24 That's the issue with not getting
25 replacement space so we could continue that business

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1 in.

2 Q. Just so the record is clear, your
3 claims as to your losses relating to the Authority's
4 forced relocation pertained to buildings 194 Panama
5 Street, 199 Panama Street, 292 Marlin Street,
6 201 Clipper Street, 202 Clipper Street and 201
7 Export Street; is that correct?

8 MR. BURKE: Objection.

9 A. Let me run through the buildings if
10 it's okay.

11 Q. Please.

12 A. The buildings that we're referring
13 to, the three initially were 191, and that's Export
14 Street, 194 Panama Street, 199 Panama Street,
15 Building 1400 Aruba Street, Building 201 Clipper
16 Street, Building 202 Clipper Street and 292 Marlin
17 Street.

18 Q. Any other buildings?

19 A. No.

20 MR. BURKE: Other buildings what?
21 That you were removed from?

22 Q. Any other buildings you're claiming
23 damages that you were removed from.

24 MR. BURKE: That's my objection.
25 Your questions are completely unclear. It was

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1 objection to form. You're misconstruing the
2 allegations in the claims. Your question is not
3 really very specific. Our responses to discovery,

4 our verified complaint will speak for themselves
5 giving you plenty of notice as to what our claims
6 are in this case. Your attempt to try to limit him
7 this way is really objectionable. The record will
8 show what are claims are in this case.

9 Q. Besides the buildings you just
10 mentioned, are there any other buildings that you
11 claim that you had to vacate because of The Port
12 Authority that caused you financial losses?

13 MR. BURKE: Objection.

14 A. As part of this, no. I'm sorry, I
15 want to correct that. We didn't include 201 A.
16 That was our main office building so I definitely
17 should include that because that did result in added
18 cost.

19 Q. So you should include it. It's not a
20 warehouse facility, but it's an office facility that
21 had to be vacated as part of this.

[(Deposition of Patrick Wynne taken on February 1, 2018, Exhibit
B, page 74, line 18 to page 83, line 21).]

**PANYNJ Has Unreasonably Refused To Deal And Negotiate With Port
Elizabeth Terminal & Warehouse Corp.**

51. The Shipping Act of 1984, § 41106(3) provides that a marine terminal operator
may not “unreasonably refuse to deal or negotiate”. (Verified Complaint, paragraph HH).

52. Port Elizabeth Terminal & Warehouse Corp. has at all times sought to negotiate
with PANYNJ officials regarding its continuing operations at the Port of New York,
including at the PANYNJ's Port Newark facility. (Verified Complaint, paragraph II).

53. For instance, on or about August 3, 2011, representatives of Port Elizabeth
Terminal & Warehouse Corp. met with PANYNJ officials to discuss a proposal
submitted on or about July 18, 2011 and to negotiate an agreement to finance, construct
and operate state of the art warehouse buildings. (Verified Complaint, paragraph JJ).

54. The property PET&W sought to construct the state of the art warehouse was occupied by FAPS and then Columbia Coastal. (Deposition of Patrick Wynne taken on February 1, 2018, Exhibit B, page 172, lines 14 to 19).

55. There is no valid transportation purpose for the foregoing undue or unreasonable prejudices against Port Elizabeth Terminal & Warehouse Corp. and undue or unreasonable preferences advantaging FAPS and Columbia Coastal or the PANYNJ's refusal to deal with Port Elizabeth Terminal & Warehouse Corp. regarding PET&W's warehouse proposal. (PET&W's Answers to Interrogatories, Exhibit C, page 18; (Deposition of Nathaniel "Sam" Ruda taken on January 26, 2018, Exhibit A, page 177, lines 10 to 21).

56. On or about July 18, 2016, Port Elizabeth Terminal & Warehouse Corp. sought to negotiate with PANYNJ regarding the leasing of building at 1400 Aruba Street as alternate space to 201 Export Street or 202 Clipper Street. (Verified Complaint, paragraph KK).

57. As noted above, Port Elizabeth Terminal & Warehouse Corp. had occupied 1400 Aruba Street from March 2010 until December 14, 2014 when PANYNJ requested Port Elizabeth Terminal & Warehouse Corp. to vacate the premises in order to allow for sprinkler repairs. (Verified Complaint, paragraph LL).

58. On or about February 2, 2017, Port Elizabeth Terminal & Warehouse Corp. sought to negotiate with PANYNJ regarding the leasing of buildings 265, 267 and 268

Export Street as alternate space to 201 Export Street or 202 Clipper Street. (Verified Complaint, paragraph MM).

59. Despite Port Elizabeth Terminal & Warehouse Corp.'s efforts to engage in good faith negotiations, PANYNJ has consistently refused to make any commitments whatsoever regarding its plans for Port Elizabeth Terminal & Warehouse Corp.'s continued operations at Port Newark. (Verified Complaint, paragraph NN).

60. On or about March 15, 2017, Port Elizabeth Terminal & Warehouse Corp. officials met with PANYNJ officials in an attempt to negotiate in good faith at PANYNJ's offices in New York City. (Verified Complaint, paragraph OO).

61. At the PANYNJ's request, on March 17, 2017 Port Elizabeth Terminal & Warehouse Corp. submitted a revised Proposal and emphasized the necessity of negotiating a deal over suitable alternative space and the impact of PANYNJ's failure to engage in good faith negotiations was having on its business. (Verified Complaint, paragraph PP).

62. On March 27, 2017, PANYNJ sought confidential information regarding Port Elizabeth Terminal & Warehouse Corp.'s customers and volumes which, in good faith, Port Elizabeth Terminal & Warehouse Corp. promptly provided. (Verified Complaint, paragraph QQ).

63. On or about March 28, 2017, Port Elizabeth Terminal & Warehouse Corp. officials again met with PANYNJ officials in an attempt to negotiate in good faith at PANYNJ's offices and the following day provided the confidential information regarding

Port Elizabeth Terminal & Warehouse Corp.'s customers and volumes. (Verified Complaint, paragraph RR).

64. On April 7, 2017, Port Elizabeth Terminal & Warehouse Corp. requested an update from the PANYNJ. (Verified Complaint, paragraph SS).

65. On April 11, 2017, PANYNJ requested Port Elizabeth Terminal & Warehouse Corp. to provide information regarding the total annual rail volume, in rail cars, for the years 2014-2016. (Verified Complaint, paragraph TT).

66. Notwithstanding the Notice of Termination PANYNJ served upon Port Elizabeth Terminal & Warehouse Corp. seeking to have Building 201 and Building 202 vacated, Port Elizabeth Terminal & Warehouse Corp., on April 21, 2017, requested an update from the PANYNJ regarding its request for suitable alternative space, once again explaining how the lack of progress in negotiations over warehouse space was impacting Port Elizabeth Terminal & Warehouse Corp.'s business. (Verified Complaint, paragraph UU).

67. Without responding to the Port Elizabeth Terminal & Warehouse Corp.'s request of April 21, 2017 and Port Elizabeth Terminal & Warehouse Corp.'s continuing efforts to engage in good faith negotiations, the PANYNJ, on May 4, 2017, filed a Verified Complaint in the Superior Court of New Jersey seeking to evict the Port Elizabeth Terminal & Warehouse Corp. from premises known as Building 201 and Building 202 at Port Newark. (Verified Complaint, paragraph VV).

68. Upon receipt of the Eviction Complaint, the Port Elizabeth Terminal & Warehouse Corp. requested PANYNJ to withdraw its eviction action and engage in good faith negotiations, however, PANYNJ has refused to deal or negotiate. (Verified Complaint, paragraph WW).

69. With regard to the PANYNJ's conduct, Patrick Wynne testified:

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6 Q. The business of PETW does it provide
7 wharfage, dock, warehouse or other terminal
8 facilities in connection with a common carrier or in
9 connection with a common carrier and a water
10 carrier?

11 MR. BARRAGAN: Objection; form.
12 Calls for a legal conclusion.

13 A. Yes.

14 Q. We talked about your business and who
15 your nightmares (sic) were, but by way of business
16 competitors, and you mentioned a couple of
17 warehouses, does PETW compete for space with other
18 entities at Port Newark?

19 A. Yes.

20 Q. Is PNCT one of those entities that
21 you compete for space?

22 A. Yes.

23 Q. Did the Port Authority take space
24 that was leased to PETW and provide it to PNCT?

25 A. Yes.

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1 Q. Did Port Authority ever give you the
2 opportunity to negotiate or bid for the property
3 that you were on that the Port gave to PNCT?

4 A. No.

5 Q. Now, with regard to that CenterPoint
6 proposal, where was that facility -- where did you
7 propose that facility to be built?

8 A. There is a room adjacent to building
9 135, Seamen's Church Institute. It's located on
10 Export Street. I'm trying to think. I guess maybe

11 Calcutta is the other street. It's just open
12 property. That was the location that the design
13 plan that we looked at had those buildings fitting
14 into that particular space, as opposed to just
15 putting new buildings on existing space that we were
16 in that was going to PNCT.

17 What ended up happening with that
18 space they were looking at is that Columbia ended up
19 putting empty containers.

20 Q. Columbia Coastal was provided that
21 space that you wanted?

22 A. Yes.

23 Q. Do you know the terms of the lease
24 Port Authority had with Columbia Coastal?

25 MR. BARRAGAN: Objection; assuming

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1 facts never established.

2 Q. Do you know the terms?

3 A. I don't know the terms of that.

4 Q. Did the Port Authority ever give you
5 any opportunity to bid for that property that you
6 wanted to put the CenterPoint proposal on that they
7 again gave to Columbia Coastal?

8 MR. BARRAGAN: Objection to form.
9 Assuming facts not established.

10 Q. Were you given an opportunity to bid
11 for that property or did the Port Authority let you
12 know of their negotiations and allow you to compete?

13 A. No.

14 Q. By the way, today do you know who is
15 using that property?

16 A. Well, Columbia moved out maybe a
17 month or a month and a half ago. FAPS had been
18 using some of it. I'm not certain today who is
19 there or if it's vacant.

20 Q. So is FAPS also a competitor for
21 space with PETW, is that true?

22 A. Yes.

23 Q. As well as the other lessees and
24 marine terminal operators at Port Newark; is that
25 right?

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1 MR. BARRAGAN: Objection to form.

2 A. That's correct.

3 Q. Let me understand. We talked an
4 awful lot about the 191, 194. I'm a little
5 confused. The ones that you had to get out of, the
6 Port Authority told you to get out of on November
7 30th of 2015, do you remember those buildings?

8 A. It was actually March 31st of 2015.

9 Q. And it's the three buildings?

10 A. The three buildings.

11 Q. I'm talking about those buildings.
12 Am I correct that PETW was in possession of those
13 and they were then leased to PNCT; am I right?

14 MR. BARRAGAN: Objection to form;
15 leading.

16 A. They were leased to PNCT.

17 Q. Were you given an opportunity to give
18 a competitive bid when the Port Authority decided to
19 give that property to PNCT?

20 MR. BARRAGAN: Objection. That
21 wasn't testified to.

22 A. No.

23 Q. Now, you talked earlier about
24 accommodations of PETW of the Port Authority and
25 accommodations by the Port Authority and PETW. Let

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1 me ask you some questions about that. Okay?

2 A. Okay.

3 Q. Throughout the 40-year history did
4 the Port Authority always up until this year provide
5 you with reasonable alternative space in order to do
6 business with your customers?

7 A. Yes.

8 Q. In the various operations that you've
9 described?

10 A. Yes.

11 Q. Including the heavy material or heavy
12 transportation category?

13 A. Yes.

14 Q. When you talked about Dennis
15 Lombardi, what I'm trying to get at were the
16 conversations you had with him a continuation of

17 that long-standing custom and practice between PETW
18 and Port Authority?

19 A. They were, but it was also a
20 recognition of the amount of business we were
21 bringing to the Port, not to mention the number of
22 jobs that were involved in this.

23 Q. Now, you mentioned 2M, Maersk and
24 Maher joining --

25 A. Maersk and MSC.

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1 Q. MSC and PNCT, that is a partnership?

2 A. Yes.

3 Q. So when you're saying 2M, it really
4 involving PNCT?

5 A. It involves the two terminals, PNCT
6 and ACM in addition to the steamship lines
7 themselves.

8 Q. You mentioned earlier about the empty
9 containers and the impact that placed on -- the
10 negative -- the serious negative impact that placed
11 on your business?

12 A. Yes.

13 Q. Are you familiar or aware of any just
14 and reasonable regulations and practices pertaining
15 --that the Port Authority had pertaining to
16 handling, storing and delivery of property --

17 MR. BARRAGAN: Objection to form.
18 Calls for a legal conclusion.

19 Q. -- that you're aware of?

20 A. Can you rephrase that?

21 Q. I'm trying to figure out because you
22 described very aptly that there were empty
23 containers building up, there was no place to put
24 them and the Port Authority does run the Port,
25 right?

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1 A. Yes.

2 Q. On certain things they have some
3 regulations, right?

4 A. Yes.

5 Q. And they enforce those, they observe
6 and enforce those regulations --

7 MR. BARRAGAN: Objection to form;
8 calls for a legal conclusion.

9 Q. -- in other areas, right?

10 A. Yes.

11 MR. BARRAGAN: Objection to form;
12 calls for a legal conclusion.

13 Q. So I'm wondering whether or not the
14 Port Authority -- with regard to the problems that
15 you were having, did the Port Authority establish,
16 observe and enforce regulations regarding the issues
17 that you were having with the empty containers and
18 the like and the congestion of the Port?

19 MR. BARRAGAN: Objection to form.

20 MR. BURKE: Let me finish, please.

21 Q. Did I get the whole thing out?

22 MR. BARRAGAN: Objection to form;
23 calls for a legal conclusion.

24 Q. Did I get if whole thing out? I
25 don't think that calls for a legal conclusion.

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1 A. Just to be clear, transportation in
2 the marine terminal, this is the transport part of
3 it, but it's based on roundtrips. So whether you're
4 doing an import or export, you're going to a
5 terminal, picking up a container and bringing it to
6 a warehouse or whoever, it's is being off-loaded and
7 then you're returning it back to that same terminal.

8 When MSC and Maersk created the 2M
9 service, shippers had no idea. It happened while
10 the ships were on the ocean to the point people
11 within MSC U.S. didn't even know what terminal a
12 vessel was coming into. That was the first part of
13 the problem.

14 The second part of the problem was
15 there was tremendous congestion in the port. It's
16 all documented. It's public record. More than
17 that, because it was so bad and the demerge cost was
18 so high a whole group of shippers have a case before
19 the FMC due to the fact those steamship lines an
20 terminal operators that had all the congestion that
21 made the turn times instead of the normal hour and a
22 half, two hours, it made them six, seven and eight

23 hours to do a roundtrip that they then charged
24 demerge because you couldn't get the three
25 roundtrips a day.

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1 But the 2M service took another step
2 because now what happens is a vessel comes into APM
3 Terminal and it has both Maersk and MSC containers
4 on it. You pick them up. The lines were
5 tremendous, the congestion was tremendous, including
6 blocking our buildings where both our personnel, as
7 well as trucks coming to pick up from us couldn't
8 even get to the buildings at times.

9 You picked the container up from APM
10 Terminal, but it's a MSC container. Maersk
11 publishes on their website where the container goes
12 back. They wouldn't take the container back to APM.
13 APM would not take a MSC container back. So now you
14 have this container and, again, this is high volume
15 stuff, 30, 40, 50, 80 containers.

16 So when you go to return the
17 container, you had to get on the line on PNCT, which
18 is well documented how bad that was to return the
19 empty there. You have the empty lifted off and you
20 go around out with a bare chassis and then go around
21 and get on the APM line to get in and pick up your
22 next MSC.

23 So instead of being roundtrip it
24 became triangular with tremendous added expense.

25 Q. Do you know of anything the Port

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1 Authority did to establish and enforce regulations
2 to address those problems? Do you know of any?

3 MR. BARRAGAN: Objection; calls for a
4 legal conclusion and it's also hearsay.

5 A. I'm not aware of any regulations that
6 were put in place that did limit that.

7 Q. Do you know of anything the Port
8 Authority did to address that issue?

9 MR. BARRAGAN: Objection to form;
10 calls for a legal conclusion.

11 A. Yes. They created I think it's
12 called a Council on Port Performance, which I

13 believe they chaired with representatives of the
14 terminals and some of the others in the shipping
15 community to attempt to work their way through those
16 issues, including the grey chassis pool that this
17 Port could have chassis that could be used on any
18 terminal, any steamship line, which Savannah and
19 others have and this port doesn't. So they have put
20 that council together.

21 Q. How long did it take for the Port
22 Authority to correct the situation that you
23 described?

24 MR. BARRAGAN: Objection to form;
25 calls for a legal conclusion.

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1 A. I couldn't estimate precisely.

2 Q. How long did that last?

3 A. That counsel still exists.

4 Q. No, no, no. How long did it last
5 where you were having --

6 A. The congestion?

7 Q. -- where you were having increased
8 costs because of the congestion at the Port and what
9 you call this 2M arrangement?

10 MR. BARRAGAN: Objection to form.

11 A. 2M was primarily a 2015 event. Some
12 of the other issues were in 2014 and even prior to
13 that.

14 Q. How long did it last --

15 MR. BARRAGAN: Objection.

16 MR. BURKE: Don't interrupt me.

17 Q. How long did that kind of congestion
18 last from when it was the 2M arrangement until the
19 Port Authority was able to straighten things out?

20 MR. BARRAGAN: Objection to form.

21 A. Well, the Port Authority as such
22 really didn't work on the 2M. They worked more on
23 the congestion and winter issues that existed in the
24 Port that don't exist in some others. That issue
25 has been ongoing. It's better than it was, but it

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1 still flares up in different places.

[(Deposition of Patrick Wynne taken on February 1, 2018, Exhibit B, page 170, line 6 to page 181, line 1).]

70. As to PANYNJ's unreasonable refusal to deal, Mr. Wynne testified:

2 Q. There was a lot of talk about this
3 RFP process and meetings and the like. Is it your
4 contention that the Port Authority unreasonably
5 refused to deal and negotiate with PETW regarding
6 providing the alternative space that they had
7 promised and that the relationship between the two
8 parties had established?

9 MR. BARRAGAN: Objection to form.
10 Calls for a legal conclusion.

11 A. Yes.

12 Q. Did you think that any of those
13 meetings were actually good faith efforts by the
14 Port Authority to provide PETW with an accommodation
15 where it continued to service its existing customers
16 and continue the same type of business that it had
17 been engaged in?

18 A. The answer to that is that some of
19 the people in the Port leasing department, we felt
20 were making an attempt to represent our interests.
21 We never got the feeling that higher up within the
22 Port Department or higher actively considered our
23 proposal including talking about the back rent and
24 arrears.

25 That last meeting with Sam and Raina
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1 that we all talked about, exact words from Sam were
2 I don't want to say we don't care about the rent,
3 but we really don't kind of don't care about the
4 rent. What he was referring to is what they cared
5 about was getting us out of buildings 201 and 202.

6 To continue, at that meeting we had
7 trouble understanding why a proposal that would
8 payback the rent, wasn't being seriously considered
9 and that was his response to that point.

10 Q. Was it your understanding even from
11 2009 forward that if the Port Authority wanted you
12 to move, as long as they would provide appropriate

13 alternative space you were okay with it?

14 A. Yes.

15 Q. And that was the arrangement and the
16 understanding?

17 A. It was.

18 Q. Up until when?

19 A. I want to elaborate on something
20 which is that the Building 199 that we talked about,
21 in that building we had the Corona beer business and
22 that comes by traditional rail boxcars from Mexico,
23 high, high volume.

24 At this point in time we distribute
25 about 20 million cases of Corona and their other
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1 brands around the metro area.

2 So 199, when we were having to vacate
3 that, there is not rail space in New Jersey. People
4 are not building warehouses that have traditional
5 rail boxcars. So we had to find a home for it and
6 we found that building 150 Industrial Drive in
7 Jersey City, it was a warehouse building without
8 rail service to it at all.

9 However, the landlord was willing to
10 put in double track and that was 11 cars on each
11 track so we could do 22 boxcars a day. A boxcar of
12 beer holds about three and a half truck loads or so.

13 So in those negotiations about
14 leasing that building, and that's where we were
15 going to move Corona from building 199 to there, we
16 met with New York New Jersey Rail, which is a Port
17 Authority owned railroad.

18 Prior to our going there in 2015 on
19 the North Jersey peninsula for all their customers
20 combined they were doing 12,500 cars a year. We
21 talked to them in advance to make sure they could do
22 this capability. The first fiscal year we were
23 there we did, they did over five hundred boxcars and
24 the following year it went over 5,000.

25 In terms of being a good partner,

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1 anyone who looked at the profitability of that
2 operation, the year we brought the 4300 cars there

3 was the first year they made money.

4 So prior to this last experience,
5 both in terms of bringing business to the Port, but
6 we really felt that we were a good value partner
7 with the Port and, quite frankly, we felt they
8 treated us that way. There were many periods of our
9 history there, but that all changed in this
10 go-around in terms of those final buildings.

11 Q. In this go-around you're talking
12 about in the last year not being provided
13 alternative space, being evicted and forced from the
14 Port?

15 A. Precisely because we fully expected
16 to vacate those buildings. We didn't need to be
17 evicted. We might not be here if that had been done
18 properly, but we never got an answer out of the RFP
19 committee and the leasing people weren't really
20 directly involved in that. So it's just a long
21 period of time with literally no response
22 whatsoever.

23 Q. But from 2009 when you entered that
24 lease and you saw the proposition of being moved
25 because of PNCT, let's go through somethings. You
Page 185

1 talked about the CenterPoint proposal. Your
2 proposal was on a piece of property that was not
3 going to be given to PNCT; am I right?

4 A. That's correct.

5 Q. Still today it has cars on it?

6 A. It's either vacant or has cars.

7 Q. So I know you talked about it, I'm
8 not going to redo it, is it fair to say that over
9 those years you kept asking the Port Authority to
10 fulfill its promise to provide alternative space so
11 you can continue your business?

12 MR. BARRAGAN: Objection to form.

13 A. Yes.

14 Q. And your efforts today, they evicted
15 you, they put you off and they haven't provided you
16 with alternative space, correct?

17 A. Correct.

18 Q. Now, the RFPs that Mr. Barragan

19 talked about, were you ever told what the results
20 were of those RFPs? Were you never formally told
21 who was successful and why you weren't successful?
22 MR. BARRAGAN: Objection to form.
23 There is no determination been made in the RFPs yet.
24 A. The answer is no.
25 Q. Has anybody from the Port Authority

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1 ever told you what the terms offered to any other
2 entity or offered by them in order to have a
3 competitive process?
4 A. On those two RFPs you're referring
5 to.
6 Q. On any of the RFPs or any of the
7 properties.
8 A. I'm sorry, could you ask that
9 question again?
10 Q. I'll keep it to the RFPs for now. In
11 other words, what I'm asking you is this. If there
12 is a competitive process, would you agree that you
13 should be provided with the terms so you could meet
14 or exceed those terms? Do you follow what I'm
15 saying?

16 MR. BARRAGAN: Objection to form.

17 Q. Did the Port Authority ever do that?

18 MR. BARRAGAN: Objection to form.

19 A. Not to my knowledge.

20 Q. I guess that's true with regard to
21 other space like the space that you sought that they
22 didn't give you for the CenterPoint proposal that
23 went to Columbia Coastal, did the Port Authority
24 ever tell you what the terms of the deal were with
25 Columbia Coastal so you could meet that or --

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1 A. No.

2 Q. Mr. Wynne, I'm going to refer you to
3 Wynne-M. This is a letter dated April 19, 2016
4 giving you one year notice. Did you at this time
5 believe that the Port Authority was going to standby
6 its promise and practice to provide you with
7 reasonable alternative space in order to continue
8 your business and meet your customers' needs?

9 MR. BARRAGAN: Objection to form.

10 A. Yes.

11 Q. Did the Port Authority even at this
12 point give you an indication that that was going to
13 be the case?

14 A. Again, not as part of that letter.
15 The meetings were discussed over the time in terms
16 of exploring what the timing would be on the RFPs,
17 et cetera, yes.

18 Q. Now, we talked about 150 Pulaski
19 Street. Counsel did offer you that. I'm going to
20 ask you this. Do you think that was really a good
21 faith negotiation or part of a good faith
22 negotiation by the Port Authority to give you
23 reasonable alternative space in order for you to
24 continue operations as you had over the previous
25 some 40 years?

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1 MR. BARRAGAN: Objection to form.
2 Asking for a legal conclusion.

3 A. I think initially in terms of showing
4 it to us perhaps they thought it was an option, but
5 I think we made it clear that it wasn't at all. So
6 I can only say by continuing to offer that when it's
7 not viable and I think people knew it wasn't viable,
8 I would not call that a good faith.

9 MR. BURKE: That's all I have.
10 Thanks.

11 MR. BARRAGAN: I don't have any
12 further questions.

[(Deposition of Patrick Wynne taken on February 1, 2018, Exhibit
B, page 181, line 2 to page 188, line 12).]

71. The PANYNJ's conduct as described above, and as developed further through
discovery, constitutes an unreasonable refusal to deal or negotiate. (Verified Complaint,
paragraph XX).

PANYNJ Has Failed To “Establish, Observe, And Enforce Just And Reasonable Regulations And Practices Relating To Or Connected With Receiving, Handling, Storing, Or Delivering Property” In Violation Of 46 U.S.C. § 41102(c).

72. The Shipping Act 46 U.S.C. § 41102(c) requires MTOs (including port authorities) to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” (Verified Complaint, paragraph YY).

73. The facts presented demonstrate the PANYNJ has not established, observed, and/or enforced just and reasonable regulations and practices as they pertain to tenants who receive, handle, store, or deliver property. (Verified Complaint, paragraph ZZ).

74. Rather, the PANYNJ’s regulations and practices favor certain Marine Terminal Operators over others based upon non-transportation factors in a way so as to unduly favor certain Marine Terminal Operators based upon status. (Verified Complaint, paragraph AAA).

75. For instance, PANYNJ has refused to negotiate with PET&W on the grounds that PET&W owes it money when PANYNJ has negotiated with the following Marine Terminal Operators who owe it money: PNCT, FAPS, American Warehousing, American Stevedoring, NEAT, and others.

76. The full information regarding preferential treatment of other Marine Terminal Operators is in the possession of the PANYNJ but it has refused PET&W’s legitimate discovery requests for such information.

77. Port Elizabeth Terminal & Warehouse Corp. has sustained and continues to sustain injuries and damages, including but not limited to damages to lost profits, damage to its business interests, higher rents, costs, and other undue and unreasonable payments amounting to a sum of millions of dollars to be determined more precisely at hearing. (Verified Complaint, paragraph BBB).

PANYNJ's designated representative confirmed PET&W's contention regarding PANYNJ's violation of the Shipping Act

78. The deposition of PANYNJ's designated representative confirmed PET&W's contention regarding PANYNJ's violation of the Shipping Act which the designated representative failed to rebut:

Page 5

6 Q. Good morning Mr. Ruda. My name is Donald
7 Burke. I'm a lawyer. I'm here to take your
8 deposition in this matter that's been brought by the
9 Port Elizabeth Terminal & Warehouse Corporation
10 against the Port Authority of New York and New Jersey.
11 You're here as a designated representative of the Port
12 Authority to answer questions. Do you understand
13 that?

14 A. Yes.

15 Q. And you've been provided with the topics
16 on which you are to gather facts and provide
17 information.

18 A. Yes.

19 Q. And you're comfortable proceeding to
20 answer fully and completely the information in the
21 possession of the Port Authority on those topics. Am
22 I right?

23 A. Yes.

24 MR. BURKE: Before we get to that, let me
25 just mark this.

Page 6

1 (Exhibit Ruda-1, Letter dated 1/12/2018)

2 attaching a Notice to Take Deposition, was received
3 and marked for identification.)

4 Q. All right. Mr. Ruda, this is a letter
5 dated -- Ruda-1 is a letter dated January 12th with an
6 accompanying notice to take deposition. Is this what
7 you have looked at?

8 A. Yes.

[(Deposition of Nathaniel “Sam” Ruda taken on January 26, 2018,
Exhibit A, page 5, line 6 to page 6, line 8).]

79. The topics for the PANYNJ’s designated representative included the following:

TOPIC NO. 6: The disparity in treatment between PET&W and PNCT as it pertains to their respective leases with PANYNJ and transportation factors the PANYNJ contends justifies the disparity including:

- a. Transportation factors justifying the PANYNJ decision to provide PNCT with property leased to PET&W;
- b. The failure to provide PET&W with an opportunity to negotiate for the space leased by PANYNJ to PNCT.

TOPIC NO. 7: The disparity in treatment between PET&W and FAPS and other tenants as it pertains to lease payment arrearages and transportation factors the PANYNJ contends justifies the disparity including

- a. Rent arrearages of FAPS to PANYNJ;
- b. Providing property formerly occupied by PET&W to FAPS.

TOPIC NO. 9: Transportation factors justifying the PANYNJ treatment of PNCT pertaining to:

- a. Different lease terms in their respective leases;
- b. Providing PNCT with “added premises” which were leased to Port Elizabeth Terminal & Warehouse Corp.;
- c. Not affording PET&W the ability to negotiate for PNCT with “added premises” which were leased to Port Elizabeth Terminal & Warehouse Corp.;
- d. Response to PET&W’s proposal for the property (Center Point proposal) and dated on or about July 20, 2011;

- e. Relocating PET&W as set forth in the Verified Complaint.
- f. Taking property occupied by Port Elizabeth Terminal & Warehouse Corp. and providing it to PNCT.

TOPIC NO. 10: Transportation factors justifying the PANYNJ treatment of PET&W pertaining to:

- a. Different lease terms in their respective leases;
- b. Providing PNCT with “added premises” which were leased to Port Elizabeth Terminal & Warehouse Corp.;
- c. Not affording PET&W the ability to negotiate for PNCT with “added premises” which were leased to Port Elizabeth Terminal & Warehouse Corp.;
- d. Response to PET&W’s proposal for the property (Center Point proposal) and dated on or about July 20, 2011;
- e. Relocating PET&W as set forth in the Verified Complaint;
- f. Taking property occupied by Port Elizabeth Terminal & Warehouse Corp. and providing it to PNCT.

The PANYNJ’s Designated Representative Confirmed PANYNJ’s Preference and Prejudice Regarding PET&W’s Leasehold

80. The PANYNJ’s designated representative, Mr. Sam Ruda, gave the following testimony with regard to the “undue or unreasonable preference or advantage” PANYNJ provided to PNCT and the corresponding “undue or unreasonable prejudice or disadvantage” favorable treatment suffered by PET&W:

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6 Q. Well, we say in this litigation we were
7 never given an opportunity to negotiate for the
8 property or properties that are subject to the PNCT
9 lease. Do you dispute that?

10 A. No.

11 Q. Okay. Do you know the transportation
12 factors -- I’m using that term. You understand what
13 that means. Right? In other words, the Port

14 Authority has to have a basis for making decisions
15 that it makes in treating marine terminal operators
16 differently. You understand that?

17 A. Correct.

18 Q. It has to be a good reason.

19 A. Sure.

20 Q. It has to be a good reason based upon
21 transportation factors, meaning that's what the port's
22 in the business of, and the distinctions being made
23 have to advance those interests. Do you understand
24 that?

25 A. Understood.

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1 Q. Okay. That's part of this shipping
2 world. Right?

3 A. Right.

4 Q. So there has to be an articulation about
5 how one marine terminal operator is being treated as
6 opposed to another marine terminal operator. Do you
7 understand that?

8 A. Uh-hum.

9 Q. Okay. And you're a corporate
10 representative of the Port Authority, and you're here
11 to answer questions about that here today. Is that
12 your understanding?

13 A. Yes.

14 **Q. Okay. So what I'm trying to get at is,**
15 **as a corporate representative, do you have any facts**
16 **that would justify the Port Authority's failure to**
17 **allow Port Elizabeth Terminal & Warehouse Corporation**
18 **to negotiate for the property that was ultimately**
19 **leased to Port Newark Container Terminal?**

20 A. No.

[(Deposition of Nathaniel "Sam" Ruda taken on January 26, 2018,
Exhibit A, page 47, line 6 to page 48, line 20) (emphasis added).]

81. Accordingly, PANYNJ has not and cannot articulate any valid transportation factors justifying its "giv[ing] any undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage" regarding its "failure to

allow Port Elizabeth Terminal & Warehouse Corporation to negotiate for the property that was ultimately leased to Port Newark Container Terminal” and PET&W.¹

The PANYNJ’s Designated Representative Confirmed Preference and Prejudice Regarding PET&W’s Plan to Develop a State of the Art Transportation-Warehouse Facility and PANYNJ’s Refusal to Deal

82. In July of 2011, PET&W presented a proposal to develop a state of the art transportation-warehouse facility that was transferred from FAPS to Columbia Coastal and PANYNJ unreasonably refused to deal with PET&W.

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10 Q. You’re here as a representative of the
11 Port Authority to answer questions about the treatment
12 of Port Elizabeth. That’s why I’m asking you, you as
13 the representative of the Port Authority, give me --
14 can you give me any factual justification for the Port
15 Authority’s decision not to allow Port Elizabeth to
16 bid on the property that went from FAPS to Coastal
17 Container.

18 MR. BARRAGAN: Objection to form.
19 Already asked and answered.

20 Q. Can you do that?

21 A. No.

[(Deposition of Nathaniel “Sam” Ruda taken on January 26, 2018,
Exhibit A, page 177, lines 10 to 21).]

¹ Any suggestion that the PET&W’s preference and prejudice claims are untimely are nullified claims by the undisputed longstanding practice of the parties to negotiate in good faith and reach agreement regarding alternative suitable marine terminal facilities at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.’s operations at Port Newark which by which PANYNJ lulled PET&W into complacency until 2017 when it changed the decades long practice. See paragraph 47 above.

83. The PANYNJ's designated representative has not disputed the essential facts advanced by PET&W regarding PANYNJ's violation of the Shipping Act; the designated representative testified:

Page 30

22 Q. Let me do it this way. We say in this
23 litigation, Port Elizabeth Terminal & Warehouse Corp.
24 says in this litigation that they occupied building
25 1400 Aruba Street and were asked by the Port Authority

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1 to leave, and they did so in or about December 31st,
2 2014. Do you have any facts sitting here to dispute
3 that?

4 A. No.

5 Q. Okay. And building 191 Export Street,
6 104,000 square feet with rail service, Port Elizabeth
7 at Port Authority's request vacated that in March --
8 March 31st, 2015. Do you have any facts to dispute
9 that?

10 A. No, I don't.

11 Q. Building 194 on Panama Street, 104,000
12 square feet, rail access, Port Authority asked Port
13 Elizabeth to vacate and they did so on March 31st,
14 2015. Do you have any reason to dispute that?

15 A. No, I don't.

16 Q. Building 199 on Panama Street, 104,000
17 square feet with rail access, Port Authority asked
18 Port Elizabeth to vacate and they did so on March
19 31st, 2015. Do you have any facts to dispute that?

20 A. No, I don't.

21 Q. Building 292 Marlin Street, 91,855 square
22 feet, Port Authority wanted Port Elizabeth to move and
23 they did so on November 30th, 2015. Do you have any
24 facts to dispute that?

25 A. No, I don't.

Page 32

1 Q. Building 201 on Clipper Street, it's
2 156,000 square feet with rail access, and building 202
3 on Clipper Street, 156,000 square feet with rail
4 access, and that the Port Authority wanted Port

5 Elizabeth out, and is that -- do you have any facts to
6 dispute that?
7 A. No.

[(Deposition of Nathaniel "Sam" Ruda taken on January 26, 2018,
Exhibit A, page 30, line 22 to page 32, line 7).]

84. PET&W has been in a competitive relationship and similarly situated with other tenants at the Port operated by PANYNJ;

85. PET&W has been treated differently than the other port tenants;

86. The PANYNJ cannot justify the difference in treatment by any valid transportation factors; and

87. The disparate treatment caused injury to PET&W.

Reparations

88. Attached is a report of David Gouiran, an economist who calculates reparations due from the PANYNJ to PET&W to be twenty-five million seven hundred thirty-six thousand two hundred eighty-six dollars (\$25,736,286). (Exhibit E).

PROPOSED CONCLUSIONS OF LAW

Point I

PANYNJ Can Provide No Justification For The Undue Or Unreasonable Preference Or Advantage Given To Other Marine Terminal Operators And Has Imposed An Undue Or Unreasonable Prejudice Or Disadvantage On Port Elizabeth Terminal & Warehouse Corp.

Commission precedent has established four elements of an unreasonable preference or advantage or unreasonable prejudice or disadvantage claim:

In order to establish an allegation of an unreasonable preference or prejudice, it must be shown that (1) two parties are similarly situated or in a competitive relationship, (2) the

parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury.

Ceres Marine Term., Inc. v. Maryland Port Admin., 27 S.R.R. 1251, 1270 (FMC 1997) (footnote omitted), *aff'd in part, rev'd in part on other grounds sub nom. Maryland Port Admin. v. Federal Maritime Commission*, 164 F.3d 624(4th Cir., Oct 13, 1998).

The Shipping Act forbids ocean carriers and Marine Terminal Operators (MTOs) (including port authorities) from “giv[ing] any undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage” with respect to “any person.” 46 U.S.C. §§ 41106(2), 41104(8)-(9). Whether differential treatment qualifies as “undue” or “unreasonable” depends on whether the difference is justified. Not any justification will suffice; the disparity must be based on valid “transportation factors.” The requirement that disparity in treatment of MTOs be justified by valid transportation factors predates the modern Shipping Act.

The original Shipping Act of 1916, and the Interstate Commerce Act (“ICA”) upon which it was modeled, similarly prohibit “common carrier[s] by water” and “common carrier[s]” from giving “any undue or unreasonable preference” or imposing “any undue or unreasonable prejudice or disadvantage.” *See* Shipping Act of 1916, Pub. L. No. 64-159, § 16, 39 Stat. 728, 734 (1916); ICA, ch. 104, § 3, 24 Stat. 379, 380 (1887).

For more than a century, courts have interpreted these identical prohibitions to require the same “transportation factor” nexus. In an early ICA case, the Supreme Court explained that differential treatment among similarly situated commercial parties is not

illegal if “justified by the cost of the respective services, by their values, or by other transportation conditions.” *United States v. Ill. Cent. R.R. Co.*, 263 U.S. 515, 524 (1924); accord *New York v. United States*, 331 U.S. 284, 306 (1947); *L.T. Barringer & Co. v. United States*, 319 U.S. 1, 6-7 (1943); *Harborlite Corp. v. ICC*, 613 F.2d 1088, 1091-92 (D.C. Cir. 1979). This Court, in interpreting the Shipping Act, has applied the same standard. *N.Y. Shipping Ass’n, Inc. v. FMC*, 854 F.2d 1338, 1376 (D.C. Cir. 1988) (the Act “allow[s] only such discriminations and burdens on shippers as can be justified by transportation conditions”).

What is, and what is not, a valid “transportation factor” is well settled. When a tangible characteristic of a transportation service affects its cost or value that is a valid transportation factor that can justify differential treatment. See, e.g., *Harborlite Corp.*, 613 F.2d at 1100-01 (“transportation circumstances” were “operating conditions” on transport routes that affected the cost of shipment); *Credit Practices of Sea-Land Serv., Inc.*, No. 90-07, 1990 WL 427463, at *10 (F.M.C. Dec. 20, 1990) (“transportation factors” were “considerations having to do with the physical movement of cargo,” such as “size, weight, need for refrigeration, [or] special handling”); *Freight Forwarder Bids on Government Shipments at United States Ports—Possible Violations of the Shipping Act, 1916*, 19 F.M.C. 619, 624 (F.M.C. 1977) (AAM- 104)10 (“transportation conditions” were “differences between the amount of work required to handle” one type of shipment versus another).

In contrast, a party’s identity or commercial status—e.g., whether it directly owns the goods being transported, the scope of its business, its affiliation with other

companies—are not legitimate “transportation factors.” Such characteristics (at least in the usual course) do not affect the value of the transportation services being offered and are not a valid basis for discrimination. *See, e.g., ICC v. Del., Lackawanna & W. R.R. Co.*, 220 U.S. 235, 252 (1911) (finding discrimination undue because it was based “not upon any difference inhering in the goods or in the cost of the service rendered in transporting them, but upon the mere circumstance that the shipper is or is not the real owner of the goods”); “50 Mile Container Rules” *Implementation by Ocean Common Carriers Serving U.S. Atl. & Gulf Coast Ports*, No. 81-11, 1987 WL 209053, at *65-67 (F.M.C. Aug. 3, 1987) (privileges solely for shippers with “a ‘proprietary interest’ in the cargo” were unlawful because they operated “not on the basis of any Shipping Act transportation circumstances, but solely on the basis of [certain shippers’] identity”); 50 Fed. Reg. at 38,896 (rates may not be based “upon the identity of the shipper,” such as whether it was a Non-Vessel Operating Common Carrier (“NVOCC”)).

In short, a “transportation factor” is a tangible characteristic of the transportation service being regulated or charged; it is not an unrelated commercial attribute of the party seeking or providing the transportation service and the PANYNJ has not presented through discovery any valid “transportation factor” under the Shipping Act to justify its treatment of PET&W.

In *Ballmill Lumber v. Port of New York*, 11 F.M.C. 494 (1968) (AAM-1-18), the FMC found a special lease term extended to one favored tenant “undue and unreasonable.” There, the port authority decided to require its lumber wholesaler tenants to use the port

authority (or its agent or an approved contractor) for all backhandling of lumber. *Id.* at 495-97 (AAM-2-4). Ballmill's new lease included that requirement. But three years later the port authority made an exception for the largest lumber wholesaler in Port Newark (Weyerhaeuser), allowing it to retain the right to backhandle its own lumber. *Id.* at 495-96 (AAM-2-3). Ballmill challenged the disparity.

Before the FMC, the port authority argued that Weyerhaeuser had a stronger negotiating position because, among other things, it "was ready to leave Port Newark if it did not retain these rights" and, indeed, had already "negotiated with Port Elizabeth [a new port] for terminal facilities there." *Id.* at 501. The FMC rejected that argument, holding squarely that "[t]hese contentions afford no ground" that would justify the disparate treatment. *Id.* The FMC appreciated the port authority's commercial position, and placed no "blame" on either party for "the bargain they struck." *Id.* at 502. It simply held that, when "the Port Authority decided to retreat from its policy of retaining control in the case of Weyerhaeuser, it became incumbent upon them to treat its other tenants in a similar fashion." *Id.* at 502-03.

Several decades later, in *Ceres Marine Terminal v. Maryland Port Administration*, the FMC reached a similar conclusion. There, an independent MTO (Ceres) complained that the Maryland Port Administration improperly provided Maersk (an MTO and ocean carrier) with better rates for dockage, crane rental, and land rental. 1997 FMC Lexis 32, at *93. The port argued that "the difference in charges [was] based on permissible circumstances because Maersk and Ceres . . . operate[d] under different transportation

circumstances.” *Id.* at *95. Among other things, it argued that, “[a]t the time of its negotiations with Maersk . . . [the port] feared it was about to lose Maersk, described as its ‘most important ocean carrier service.’” *Id.* at *44. In its Exceptions before the FMC, the Maryland Port Administration said that it “was threatened with the loss of all business from Maersk”—as Maersk had recently “switched one of its services from Baltimore to Norfolk” and “the Virginia Port Authority [had] offered additional incentives to convince Maersk to switch *all* remaining Baltimore service to Norfolk.” Exceptions of the Maryland Port Administration 12, *Ceres*, No. 94-01 (F.M.C. Nov. 6, 1996) (AAM-22). The port explained that losing Maersk “would have dealt a devastating blow,” and so, “[t]o keep Maersk at the Port, MPA offered Maersk incentive terms.” *Id.* (emphasis added); *see also Ceres*, 1997 FMC Lexis 32, at *48 n.22, 67 (citing these claims).

In *Ceres*, the carrier-affiliated MTO (Maersk) promised to make a certain number of “vessel calls” at the Port of Baltimore. The non-affiliated MTO, Ceres, did not make a “vessel call” guarantee, but it did make a “cargo guarantee” just as large. The FMC found this to be a distinction without a difference: the port’s “accordance of significance only to Maersk’s vessel call guarantee, by virtue of its status as a carrier, [was] patently unreasonable in light of . . . the vessel call guarantees inherent in [Ceres’] cargo guarantee . . . and its ability to attract carrier customers who do control vessel calls.” *Ceres*, 1997 FMC Lexis, at *98-99. On remand from the Fourth Circuit, the FMC reaffirmed that there was no legally relevant “differ[ence]” between Maersk’s vessel call guarantee and

Ceres' cargo guarantee. Order Addressing Issues on Remand from Fourth Circuit 47, *Ceres Marine Terminals, Inc. v. Md. Port Admin.*, No. 94-01 (F.M.C. Aug. 15, 2001).

The FMC rejected all those arguments and held that the Maryland Port Administration had unlawfully discriminated based on status. Differentiation “between port users” had to be “reasonable,” the FMC explained, *Ceres*, 1997 FMC Lexis 32 at *102, and preferring an MTO because it was also an ocean carrier (which had threatened otherwise to leave the port) was not “reasonable.” *Id.* at *58, 97-105. On remand from the Fourth Circuit, the FMC reaffirmed that there was no legally relevant “differ[ence]” between Maersk’s vessel call guarantee and Ceres’ cargo guarantee. Order Addressing Issues on Remand from Fourth Circuit 47, *Ceres Marine Terminals, Inc. v. Md. Port Admin.*, No. 94-01 (F.M.C. Aug. 15, 2001).

The respondent has the burden of justifying the difference in treatment based on legitimate transportation factors. *Ceres Marine Terminals, Inc. v. Maryland Port Administration*, 27 S.R.R. 1251, 1270-71 (FMC 1997). Placing the “burden of justifying the difference in treatment based on legitimate transportation factors” on the Respondent is well established. *Ceres*, 1997 FMC Lexis 32, at *90; accord *Plaquemines Port, Harbor & Terminal Dist. v. FMC*, 838 F.2d 536, 548 (D.C. Cir. 1988) (affirming FMC decision applying burden-shifting approach).

The Shipping Act – like numerous anti-discrimination mandates – permits differential treatment among similarly situated parties only where valid differences in underlying circumstances actually motivated the decision-maker *at the time*. Post-hoc

explanations created in litigation to justify differential treatment do not suffice. *See Ceres*, 1997 FMC Lexis 32, at *101 n.52 (rejecting claim that port’s worry about “Ceres’ ability to pay liquidated damages” justified its disadvantaged treatment because “there is no evidence of any such concern earlier”); *50 Mile Container Rules*, 1987 WL 209053, at *70 (rejecting “post hoc rationalization” for precluding “certain shippers from fully utilizing off-pier containerization”); *cf. United States v. Virginia*, 518 U.S. 515, 533 (1996) (“justification [for sex-based classification] must be genuine, not hypothesized or invented *post hoc* in response to litigation”); *Tex. Dep’t of Cmty. Affairs v. Burdine*, 450 U.S. 248, 256 (1981) (plaintiff can prove discrimination by “demonstrat[ing] that the proffered reason was not the true reason for the employment decision”); *Local 357, Int’l Bhd. of Teamsters, Chauffeurs, Warehousemen & Helpers of Am. v. NLRB*, 365 U.S. 667, 675 (1961) (“It is the ‘true purpose’ or ‘real motive’ in hiring or firing that constitutes the test.”).

In the instant matter, there are no genuine issues of material dispute that 1) PET&W has been in a competitive relationship and similarly situated with other tenants at the Port operated by PANYNJ; 2) PET&W has been treated differently than the other port tenants; 3) the PANYNJ cannot justify the difference in treatment by any valid transportation factors and 4) the disparate treatment caused injury to PET&W.

In this regard, the deposition of PANYNJ’s designated representative established the following:

Page 5

6 Q. Good morning Mr. Ruda. My name is Donald
7 Burke. I’m a lawyer. I’m here to take your
8 deposition in this matter that’s been brought by the

9 Port Elizabeth Terminal & Warehouse Corporation
10 against the Port Authority of New York and New Jersey.
11 You're here as a designated representative of the Port
12 Authority to answer questions. Do you understand
13 that?

14 A. Yes.

15 Q. And you've been provided with the topics
16 on which you are to gather facts and provide
17 information.

18 A. Yes.

19 Q. And you're comfortable proceeding to
20 answer fully and completely the information in the
21 possession of the Port Authority on those topics. Am
22 I right?

23 A. Yes.

24 MR. BURKE: Before we get to that, let me
25 just mark this.

Page 6

1 (Exhibit Ruda-1, Letter dated 1/12/2018
2 attaching a Notice to Take Deposition, was received
3 and marked for identification.)

4 Q. All right. Mr. Ruda, this is a letter
5 dated -- Ruda-1 is a letter dated January 12th with an
6 accompanying notice to take deposition. Is this what
7 you have looked at?

8 A. Yes.

[(Deposition of Nathaniel "Sam" Ruda taken on January 26, 2018,
Exhibit A, page 5, line 6 to page 6, line 8).]

The topics for the PANYNJ's designated representative included the following:

TOPIC NO. 6: The disparity in treatment between PET&W and PNCT as it pertains to their respective leases with PANYNJ and transportation factors the PANYNJ contends justifies the disparity including:

- c. Transportation factors justifying the PANYNJ decision to provide PNCT with property leased to PET&W;
- d. The failure to provide PET&W with an opportunity to negotiate for the space leased by PANYNJ to PNCT.

TOPIC NO. 7: The disparity in treatment between PET&W and FAPS and other tenants as it pertains to lease payment arrearages and transportation factors the PANYNJ contends justifies the disparity including

- c. Rent arrearages of FAPS to PANYNJ;
- d. Providing property formerly occupied by PET&W to FAPS.

TOPIC NO. 9: Transportation factors justifying the PANYNJ treatment of PNCT pertaining to:

- g. Different lease terms in their respective leases;
- h. Providing PNCT with “added premises” which were leased to Port Elizabeth Terminal & Warehouse Corp.;
- i. Not affording PET&W the ability to negotiate for PNCT with “added premises” which were leased to Port Elizabeth Terminal & Warehouse Corp.;
- j. Response to PET&W’s proposal for the property (Center Point proposal) and dated on or about July 20,2011;
- k. Relocating PET&W as set forth in the Verified Complaint.
- l. Taking property occupied by Port Elizabeth Terminal & Warehouse Corp. and providing it to PNCT.

TOPIC NO. 10: Transportation factors justifying the PANYNJ treatment of PET&W pertaining to:

- g. Different lease terms in their respective leases;
- h. Providing PNCT with “added premises” which were leased to Port Elizabeth Terminal & Warehouse Corp.;
- i. Not affording PET&W the ability to negotiate for PNCT with “added premises” which were leased to Port Elizabeth Terminal & Warehouse Corp.;
- j. Response to PET&W’s proposal for the property (Center Point proposal) and dated on or about July 20, 2011;
- k. Relocating PET&W as set forth in the Verified Complaint;
- l. Taking property occupied by Port Elizabeth Terminal & Warehouse Corp. and providing it to PNCT.

1. Preference and Prejudice Regarding PET&W’s Leasehold

The PANYNJ's designated representative, Mr. Sam Ruda, gave the following testimony with regard to the "undue or unreasonable preference or advantage" PANYNJ provided to PNCT and the corresponding "undue or unreasonable prejudice or disadvantage" favorable treatment suffered by PET&W:

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6 Q. Well, we say in this litigation we were
7 never given an opportunity to negotiate for the
8 property or properties that are subject to the PNCT
9 lease. Do you dispute that?

10 A. No.

11 Q. Okay. Do you know the transportation
12 factors -- I'm using that term. You understand what
13 that means. Right? In other words, the Port
14 Authority has to have a basis for making decisions
15 that it makes in treating marine terminal operators
16 differently. You understand that?

17 A. Correct.

18 Q. It has to be a good reason.

19 A. Sure.

20 Q. It has to be a good reason based upon
21 transportation factors, meaning that's what the port's
22 in the business of, and the distinctions being made
23 have to advance those interests. Do you understand
24 that?

25 A. Understood.

Page 48

1 Q. Okay. That's part of this shipping
2 world. Right?

3 A. Right.

4 Q. So there has to be an articulation about
5 how one marine terminal operator is being treated as
6 opposed to another marine terminal operator. Do you
7 understand that?

8 A. Uh-hum.

9 Q. Okay. And you're a corporate
10 representative of the Port Authority, and you're here
11 to answer questions about that here today. Is that
12 your understanding?

13 A. Yes.
14 **Q. Okay. So what I’m trying to get at is,**
15 **as a corporate representative, do you have any facts**
16 **that would justify the Port Authority’s failure to**
17 **allow Port Elizabeth Terminal & Warehouse Corporation**
18 **to negotiate for the property that was ultimately**
19 **leased to Port Newark Container Terminal?**
20 A. No.²

[(Deposition of Nathaniel “Sam” Ruda taken on January 26, 2018,
Exhibit A, page 47, line 6 to page 48, line 20) (emphasis added).]

Accordingly, PANYNJ cannot articulate any valid transportation factors justifying its “giv[ing] any undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage” regarding its “failure to allow Port Elizabeth Terminal & Warehouse Corporation to negotiate for the property that was ultimately leased to Port Newark Container Terminal” and PET&W, therefore, is entitled to Summary Judgment as to this preference/prejudice.

Further, PANYNJ cannot articulate any valid transportation factors

2. Preference and Prejudice Regarding PET&W’s Plan to Develop a State of the Art Transportation-Warehouse Facility and Refusal to Deal

Section 41106(3) of the Shipping Act states that a marine terminal operator may not “unreasonably refuse to deal or negotiate,” 46 U.S.C, §41106(3). “This requires a

² PET&W’s preference and prejudice claims are timely filed because of the undisputed longstanding practice of the parties to negotiate in good faith and reach agreement regarding alternative suitable marine terminal facilities at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.’s operations at Port Newark. Thus, PANYNJ lulled PET&W into complacency until 2017 when it changed the decade’s long practice. See paragraph 47 above. The Presiding Officer’s dismissal of these claims has been challenged and is pending review by the Commission.

two-part inquiry: whether [respondent] refused to deal or negotiate, and, if so, whether its refusal was unreasonable.” *Canaveral Port Auth.*, 29 S.R.R. 1436, 1448 (FMC 2003). The Commission has held that a port authority’s refusal to consider a proposal constitutes a refusal to deal or negotiate. *Canaveral Port Auth.*, 29 S.R.R. at 1448. With respect to a port authority, “in determining reasonableness, the agency will look to whether a marine terminal operator gave actual consideration of an entity’s efforts at negotiation.” *Canaveral Port Auth.* 29 S.R.R. at 1450. The Shipping Act prohibits “shutting out” any person for reasons having no relation to legitimate transportation-related factors. *New Orleans Stevedoring Co. v. Bd of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d*, 29 S.R.R. 1066, 1070 (FMC 2002).

Thus to prevail on a refusal to deal claim, a complainant must allege that a party refused to deal or negotiate and that the complainant was unreasonably shut out from negotiations.

As set forth in the Proposed Findings of Fact above, PANYNJ has shut out PET&W from negotiations on a number of proposals and cannot articulate a reasonable, non-discriminatory transportation related justification for its refusal.

In July of 2011, PET&W presented a proposal to PANYNJ to develop a state of the art transportation-warehouse facility at Port Newark.

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10 Q. You’re here as a representative of the
11 Port Authority to answer questions about the treatment
12 of Port Elizabeth. That’s why I’m asking you, you as
13 the representative of the Port Authority, give me --
14 can you give me any factual justification for the Port

15 Authority's decision not to allow Port Elizabeth to
16 bid on the property that went from FAPS to Coastal
17 Container.
18 MR. BARRAGAN: Objection to form.
19 Already asked and answered.
20 Q. Can you do that?
21 A. No.

[(Deposition of Nathaniel "Sam" Ruda taken on January 26, 2018,
Exhibit A, page 177, lines 10 to 21).]

3. Under The Shipping Act, The Complainant Must Have "Conclusive Information" That A Third Party Received Unduly Preferential Treatment In Violation Of The Shipping Act To Trigger The Statute Of Limitations And The Longstanding Course Of Conduct And Continuing Promises Up To 2017 That PET&W Would Be Treated In Conformity With PNCT And Other Marine Terminal Operators Vitiates Such "Conclusive Information"

Under the Commission's discovery rule, the limitations period begins to run only when the complainant possesses "conclusive information about such a dispute." *Inlet Fish Prod, Inc. v. Sea-LandServ., Inc.*, 29 S.R.R. 306, 313 (F.M.C. 2001). The Commission adopted the discovery rule favoring "a flexible approach to the accrual of a cause of action" because "a flexible rule permitting the inclusion of complaints that would otherwise be dismissed under a more strict approach would allow the Commission to pass on the legality of allegedly injurious conduct," whereas a "stricter rule would exonerate certain respondents even if their conduct was unlawful, simply because a potential complainant was unable to identify the existence of its cause of action." *Id.* at 313. The Commission explained that it is not enough that the complainant had "some suspicion" of the disparity and even possessed documents showing the disparity, or in that case even hath suspicion and documents showing the disparity. To the contrary,

under the Shipping Act, the complainant must have “conclusive information” that a third party received unduly preferential treatment in violation of the Shipping Act. *Id.*

In this case, it is undisputed that the longstanding course of conduct and continuing promises by PANYNJ to PET&W that PET&W would be treated in similarly to PNCT and other Marine Terminal Operators up until 2017 vitiates such “conclusive information” and the three year statute of limitations was tolled by the discovery rule until 2017. In other words, PANYNJ lulled PET&W into not asserting its rights with its longstanding course of conduct and promises PANYNJ would treated PET&W in conformance with the treatment PANYNJ was affording to other Marine Terminal Operators. In hindsight, it is clear that PANYNJ sought through this course of conduct to delay action by PET&W until the statute of limitations had run – a classic and well-accepted reason for tolling the statute of limitations.

The PANYNJ’s designated representative did not deny such a course of action which was abruptly changed by the PANYNJ in 2017:

Page 29

14 Q. So -- well, do you dispute that over
15 those 40 years up until recently, that the Port
16 Authority and Port Elizabeth Terminal & Warehouse have
17 been able to negotiate deals to their mutual
18 satisfaction that accommodates both sides’ interests?

19 A. Yes.

20 Q. And that includes moving the physical
21 location of Port Elizabeth Terminal & Warehouse
22 operation on occasion.

23 A. Yes.

24 Q. So those things are undisputed. Am I
25 right?

Page 30

1 A. Yes.

[(Deposition of Nathaniel “Sam” Ruda taken on January 26, 2018,
Exhibit A, page 29, line 14 to page 30, line 1).]

Thus, PET&W lacked the “conclusive information” of unduly preferential treatment to trigger the statute of limitations until 2017 based upon PANYNJ’s course of conduct and promises that PET&W would be treated in conformity with PNCT and other marine terminal operators and the instant claims are timely.³

4. Continuing Preference and Prejudice and Refusal to Deal⁴

The preference and prejudice and refusal to deal continue to present. As to the refusal to provide rules and regulations pertaining to Requests for Proposals, the following exchange took place at deposition:

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21 We have asked the Port Authority to give
22 us the rules and regulations, which you’re obligated
23 to have under the Shipping Act. You haven’t given
24 us anything. We contend that this RFP process is a
25 pretext for pushing my client out of the Port and

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1 favoring other clients. If you don’t give us the
2 regulations on the RFP, then that proves it’s
3 pretext.

4 I wanted to ask you once again, will
5 you please give us those things because if you
6 don’t, I think it’s a strong inference it’s all a
7 pretext to disadvantage my client and to prefer
8 other entities, marine terminal operators that the

³ The Initial Decision dismissed claims of PET&W on the pleadings based upon a rejection of facts asserted in the Verified Complaint and on a consideration of material beyond the pleadings. In light of the above, we respectfully request the Presiding Officer reconsider the Initial Decision.

⁴ On May 22, 2018, Complainant Port Elizabeth Terminal & Warehouse Corp. requested leave to file an Amended Complaint which remains pending.

9 Port Authority prefers.

[(Deposition of Nathaniel “Sam” Ruda taken on January 26, 2018, Exhibit A, page 134, line 21 to page 135, line 9).]

Thus, an adverse inference should be taken as a result of the PANYNJ’s refusal to provide basic discovery.⁵

⁵ At his deposition, the PANYNJ’s designated representative testified regarding relevant records and documents which have not been produced by PANYNJ including the following:

- i. The RFPs that went out with regard to building 1400 and the LaFarge group of buildings.
- ii. Sign in sheets conducted related to the inspections in conjunction with the RFPs for building 1400 as well as the LaFarge group of buildings.
- iii. Responses to the RFPs regarding building 1400 as well as the LaFarge group of buildings.
- iv. Lease agreement between the port authority and Columbia Coastal for the property PET&W’s proposed to use as a state-of-the-art warehouse facility (CenterPoint proposal).
- v. Correspondence between the port authority and PNCT regarding space lease to pee T&W provided to PNCT and then subleased by the port authority and PNCT to PET&W.
- vi. Monthly reports regarding Port Authority tenants in arrears from 2010 to present as testified to by the designated witness.
- vii. Settlement Agreements between the PANYNJ and
 1. PNCT,
 2. FAPS,AWI/ASI,
4. Other tenants from 2008 to present.
- viii. Correspondence regarding transfer of property held by PET&W to PNCT including the arrangement regarding the properties subleased to PET&W by PNCT with the concurrence of PANYNJ. This to include correspondence regarding rent owed.

PANYNJ has been requested to produce the above documents but did not do so.

CONCLUSION

For the foregoing reasons, Complainant PET&W requests Judgment against Respondent Port Authority of New York and New Jersey in the amount of \$25,736,286.00.

Respectfully submitted,

LAW OFFICE OF DONALD F. BURKE
Attorneys for Complainant
Port Elizabeth Terminal & Warehouse Corp.

By: s/ Donald F. Burke
Donald F. Burke, Esq.

Dated: July 30, 2018

EXHIBITS

- A. Deposition of Sam Ruda pursuant to Rule 30(b)(6)
- B. Deposition of Patrick Wynne
- C. PET&W's Answers to Interrogatories
- D. PET&W's Document Production
- E. Report of D. Gouiran and Table of Losses